



Citation: Singh v. Certas Direct Insurance Company, 2022 ONLAT 20-011141/AABS- PI

Licence Appeal Tribunal File Number: 20-011141/AABS

In the matter of an Application pursuant to subsection 280(2) of the *Insurance Act*, RSO 1990, c I.8., in relation to statutory accident benefits.

Between:

Sachin Singh

Applicant

and

Certas Direct Insurance Company

Respondent

PRELIMINARY ISSUE DECISION

ADJUDICATOR: Deborah Neilson

APPEARANCES:

For the Applicant: Sachin Singh, Applicant
Olga Poznyakova, Paralegal

For the Respondent: Maria Loureiro, Adjuster
Shawn Macdonald, Counsel

Court Reporter: Guido Riccioni

Heard by Videoconference: August 4 to 6, 2021

REASONS FOR DECISION

I. BACKGROUND

- [1] The applicant, Sachin Singh, was involved in an incident on October 3, 2019, and sought benefits pursuant to the *Statutory Accident Benefits Schedule - Effective September 1, 2010* (the "*Schedule*"). The applicant was denied accident benefits by the respondent, Certas Direct Insurance Company, and applied to the Licence Appeal Tribunal - Automobile Accident Benefits Service ("Tribunal") for resolution of the dispute. A preliminary issues determination was sought on whether the applicant was involved in an accident as defined in the *Schedule* and whether he wilfully materially misrepresented facts to the respondent when he applied for accident benefits.
- [2] The applicant claimed he was a back seat passenger in a 2013 Acura ILX ("car") when it was rear-ended by a 2019 Hyundai Tucson ("SUV") on October 3, 2019. The respondent claimed the incident was a staged collision and relied on an accident reconstruction expert who determined the incident did not occur as described by the applicant.
- [3] The matter proceeded to a preliminary issue hearing, which took place before me by videoconference. The applicant did not call any witnesses other than himself. Gowthigaa Jegathaswaran, an accident benefits adjuster, and William Jennings, an engineer, testified on behalf of the respondent.
- [4] After hearing the testimony of the witnesses and reviewing the exhibits, I find that the applicant has failed to prove that on October 3, 2019, he was involved in an "accident" as defined under s.3 of the *Schedule*.

II. PROCEDURAL ISSUES

- [5] At the applicant's request and on consent, Ms. Jegathaswaran, an adjuster, was excluded from the hearing until she testified. The applicant objected to Maria Loureiro, an adjuster with the respondent's Special Investigation Unit, attending the hearing and instructing the respondent's counsel. Prior to the hearing the applicant brought a motion on whether Ms. Loureiro could testify at the hearing. The parties settled the motion by the respondent agreeing she would not testify.
- [6] The applicant submitted that because of the settlement of the motion, Ms. Loureiro could not attend the hearing. However, the settlement of the motion did not include any agreement that Ms. Loureiro would not attend the hearing and instruct counsel during the hearing.

- [7] The applicant submitted that Ms. Loureiro had interviewed the applicant and, therefore, he was prejudiced. The applicant could provide no authority for his submission that any prejudice to him supersedes the respondent's right to have a representative of its choice attend the hearing and instruct counsel. Nor could he provide any authority for why Ms. Loureiro, as a representative of the respondent, should be excluded from the hearing because she participated in the case conference. If I accepted that attendance at a case conference is reason to exclude a party or its representative, the applicant would have to be excluded from the hearing. This is contrary to a party's right to attend a hearing and instruct counsel.
- [8] The respondent had a right to be present at the hearing and instruct counsel by way of a representative of its choice. Especially since Ms. Loureiro was not testifying and the respondent consented to Ms. Jegathaswaran, the claims adjuster, being excluded from the hearing until she testified. To exclude the respondent from the hearing in the fashion requested by the applicant is unjust, unfair and prejudicial to the respondent. For these reasons, the applicant's request was denied.

III. ISSUES

- [9] The preliminary issues to be determined are:
1. Was the applicant involved in an accident?
 2. Did the applicant wilfully misrepresent material facts with respect to his application for benefits?
 3. Is the respondent entitled to a repayment of medical benefits in the amount of \$1,442.29 pursuant to s.52 of the *Schedule*?
 4. Is the respondent entitled to costs pursuant to Rule 19.1 of the *Common Rules of Practice and Procedure (the "Rules")*?
- [10] The parties could not agree on who has the onus of proof and who was required to present evidence first given that the respondent was alleging that the applicant made a material misrepresentation. Accordingly, I must determine who has the onus of proof before determining the other issues.

IV. ANALYSIS

- [11] Under section 3(1) of the *Schedule*, “accident” means an incident in which the use or operation of an automobile directly causes an impairment or directly causes damage to any prescription eyewear, denture, hearing aid, prosthesis or other medical or dental device. The parties disagree on who has the onus of proving the applicant was in an accident.

A. Onus of Proof

- [12] The applicant submitted that the respondent has the onus of proof because it is alleging that the applicant made a wilful misrepresentation. The applicant submitted that I should look first at whether there is a wilful misrepresentation because, if the respondent successfully proves that, it will answer whether or not there was an accident. Although I agree that the respondent has the onus of proof to show a wilful misrepresentation, I find that the applicant has the onus to prove on a balance of probabilities that he was injured in an “accident” as defined within the *Schedule* for the following reasons.
- [13] In *17-000532 v. Intact Insurance Company*,¹ I determined that it is the insured person’s onus to prove that he or she was involved in an accident. I relied on *Shakur v. Pilot Insurance Co.*, a decision from the Court of Appeal, which confirmed that the onus to prove entitlement to benefits under a policy does not shift from the insured person.²
- [14] The applicant relied on *M.F. vs. The Personal Insurance Company*,³ a decision that dealt with the issue of whether the insurer was entitled to repayment of benefits as a result of willful representation under s. 53. I find that case does not support the applicant’s submission because, the only onus determined in that case was whether the insurer had the onus to prove entitlement to a repayment. The insured applicant led her evidence first. Moreover, the application in that case was pursued by the insured person, not the insurer, which caused some confusion about which party’s onus it was to prove that the insurer was or was not entitled to repayment.
- [15] In this case, the respondent raised a preliminary issue challenging whether the applicant was involved in an accident. It is well accepted law that the onus is on the applicant to prove that an accident occurred. However, I agree with the

¹ *17-000532 v Intact Insurance Company*, 2017 CanLII 87155 (ON LAT). See also *C.I. vs. Certas Direct Insurance Company*, 2020 CanLII 12723 (ON LAT)

² *Shakur v. Pilot Insurance Co. (C.A.)*, 1990 CanLII 6671 (Ont. C.A.)

³ *M.F. vs. The Personal Insurance Company*, 2019 CanLII 101546 (ON LAT)

applicant that if he is unable to prove he was involved in an accident, the onus shifts to the insurer to prove that there was a willful misrepresentation and that it is entitled to repayment of accident benefits.

B. The Collision

- [16] The applicant testified that on October 3, 2019, he was the right back seat passenger in a car that was rear-ended at Ormont Drive and Barmac Drive in Toronto at about 9:30 to 9:45 p.m. There were three other people in the car: the driver Courtney McMullen, her husband and front-seat passenger “Arvin” (Vasooдео Lachhman) and the back-seat driver’s side passenger “Ellis” (Hy Erasto Ellis). The applicant has known Arvin for about 10 years from high school. Ellis was a club promotor he met about a year prior.
- [17] The applicant testified that the group was heading from his apartment building to a restaurant, Hakka #1, located at Ormont Drive and Barmac Drive. Courtney was using her GPS, but the applicant did not know why. He did not have any idea where she was going because he had his headphones on.
- [18] According to the applicant’s testimony, Courtney was driving a black Acura that had no visible damage to it. They were stopped at a stop sign for a few seconds in a remote industrial area and Courtney was just about to drive through the intersection when an SUV rear ended them. Courtney’s car was struck once. After the impact, Courtney drove the car out of the intersection. The applicant also testified that from the time of impact, he did not see Courtney drive the car again, which contradicts his testimony that she drove the car out of the intersection to the side of the road.
- [19] The applicant testified that the passengers of the SUV got out, which contradicts his testimony that he did not see any passengers in the SUV, but Courtney said there was one. The applicant did not speak to them.
- [20] The applicant testified that he and the other passengers from the car were just standing outside waiting. Courtney asked if everyone was okay and then she walked about 4 metres away from the applicant and called the police. The applicant did not hear her talk to the police or hear Courtney’s conversation. This contradicts his evidence that Courtney told whoever was on the phone that an ambulance was not needed.
- [21] Fifteen minutes after the collision, two tow trucks arrived. Courtney spoke to one of the tow truck drivers. The applicant did not. All four passengers from Courtney’s car rode in the tow truck to a Collision Reporting Centre. The

applicant did not see the driver of the SUV get into his vehicle after the collision and drive the SUV again.

- [22] The applicant testified that they were at the Collision Reporting Centre for about 40 to 45 minutes. Courtney filled out the collision report at a computer station with some help from the Centre's staff.
- [23] The applicant testified that he signed documents at the Collision Reporting Centre. One was a report listing his name that he signed electronically. He testified that Courtney called each of her passengers one by one to the counter to sign a report electronically. The driver of the SUV was there by himself, and he also filled out forms.
- [24] The applicant called a friend, Prem, to come and pick him up at the Collision Reporting Centre. Prem drove Courtney, Arvin and the applicant home. The applicant has known Prem for about 10 years from high school. Prem dropped off Courtney and Arvin and they sat outside and talked for about 10 to 20 minutes. Then, according to the applicant's testimony, Prem drove the applicant home where he arrived a little after 11:00 p.m.

C. Staged Accident

- [25] The applicant submitted that the test for whether he was in an "accident" is set out in *16-000218 v Aviva Insurance*.⁴ It is a two part test comprised of the purpose test and the causation test as follows:
 - a. Did the accident result from the ordinary and well-known activities to which automobiles are put, and, if so;
 - b. Was the relationship (not necessarily a direct or proximate causal relationship) between the appellant's injuries and the ownership, use or operation of the vehicle, causal or was it merely incidental or fortuitous.
- [26] The applicant submitted that he has proven he was in Courtney's car travelling to a restaurant at the time of the collision. Travel to a restaurant is the ordinary and well known use to which automobiles are put. However, I am unable to find that the applicant was travelling in the car for the reasons that follow. If I am wrong and the applicant was in the car, I agree with the respondent that this was a staged collision and that deliberately crashing vehicles is not the ordinary and

⁴ *16-000218 v Aviva Insurance*, 2017 CanLII 56680 (ON LAT)

well known use to which vehicles are put. A staged collision does not meet the definition of “accident” in s.3 of the *Schedule*.⁵

- [27] The applicant submitted that he sustained injuries when Courtney’s car was struck by the SUV as evidenced by the photos of the vehicles, the collision reports, his medical documents and the applicant’s testimony. I do not agree. The respondent has provided evidence from an accident reconstruction expert, William Jennings, that shows the collision did not occur as alleged by the applicant or Courtney McMullen, or as alleged in the documents the applicant relies on. This means I cannot rely on the applicant’s testimony, or the documentary evidence prepared by Courtney and the driver of the other vehicle, Samuel Ogualu, as support of the applicant’s submission that he was in an accident.

- [28] The respondent relies on the expert’s report and testimony of William Jennings, engineer. Mr. Jennings’ opinion was that it was evident that the two vehicles did come together in an offset rear impact and that the bumper structures of both vehicles engaged. However, it was also evident that both vehicles exhibited additional damage consistent with that of an underride-type impact, in which the frontal structure of the SUV under rode the rear bumper structure of the car. As a result of the underride-type impact, additional damage was incurred to the lower body structure and trunk floor of the car, and damage was incurred to the components above the front bumper of the SUV, such as the air conditioner condenser, radiator, and hood panel. In a typical bumper-to-bumper type impact, continued underride-type damage would not be expected. As such, these additional damages suggested a likely second impact, in which the front of the SUV under rode the rear bumper structure of the car. Mr. Jennings’ opinion was that the severity and pattern of damage evident to both vehicles was consistent with there being two impacts between the vehicles, not one.

- [29] Mr. Jennings’ opinion was that that, either the first impact event was overwritten on the car’s crash data retrieval (“CDR”) by the second crash, or the car was parked with the ignition turned off when it was struck the second time.

- [30] Mr. Jennings’ evidence was that the CDR report for the car showed that it slowed from a speed of about 36 km/h, 5 seconds prior to impact, to a speed of about 4 km/h when the collision event was recorded. In other words, the car did not stop before it was hit. The applicant’s statement that Courtney’s car stopped for a few

⁵ 17-000532 *v Intact Insurance Company*, 2017 CanLII 87155 (ON LAT) and *C.I. vs. Certas Direct Insurance Company*, 2020 CanLII 12723 (ON LAT)

seconds before being hit and that she was just about to drive again is contrary to the data. Based on the data, Mr. Jennings calculated that the SUV was travelling at 46 km upon impact, not at 80 km as reported by the driver of the SUV.⁶ The only inference I can draw as to why a driver would make a false statement that he was driving 30 km over the speed limit when an accident occurred is because the driver was trying to contrive an explanation as to why the damage to the vehicles was so severe.

- [31] While Mr. Jennings' opinion was that there was a front seat passenger in the car, he could not determine whether there were any passengers in the back. There were no load marks on the seatbelts, which was not unexpected given the forces involved. However, the applicant did not call any witnesses to confirm that he was, in fact, in the car when it crashed.
- [32] The applicant submitted that I should draw an adverse inference from the fact that the Jennings report was requested by the applicant's legal representative on May 5, 2020, and was not produced until October 28, 2020. I am unable to do so as the report was produced to the applicant and Mr. Jennings testified. There was no prejudice to the applicant as he had the report almost a year before the hearing.
- [33] The applicant also submitted that the respondent deliberately hid documents, more specifically adjusters' log notes. However, there was no evidence before me to support the applicant's submission. Nor did the applicant bring any motion prior to the hearing to try to obtain the documents he alleged were missing. Nor do I find that the log notes assisted the applicant in proving his claim.
- [34] The applicant submitted that I should give little weight to the Jennings report because he did not get the CDR from the SUV. The applicant relies on a report from Scott Walters, engineer.⁷ Mr. Walters did not offer any opinion on how the accident occurred. He did not have as much information as Mr. Jennings and asked for further information such as the CDR from the SUV to confirm whether there were two impacts. I am unable to accept the applicant's submission that Mr. Walter's request for information means little weight should be given to the Jennings report. Mr. Walters did not refute Mr. Jennings' opinion. There was evidence before me that the SUV was not owned by Samuel Oualu. He owned a van but rented the SUV from a rental company. I find that the respondent made efforts to obtain the CDR from the rental company that owned the SUV that

⁶ Ex.9: Self Reporting Collision Report of Samuel Oualu October 3, 2019

⁷ Exhibit 37, Report of Walters Forensic Engineering Inc. dated June 3, 2021

were ignored. There was no evidence that the applicant made any effort to obtain the CDR from the SUV to assist Mr. Walters.

- [35] Mr. Walters gave no indication that Mr. Jennings' retrieval and interpretation of the CDR data from the car was improper. Accordingly, I accept Mr. Jennings' opinion. I found him to be a forthright and unbiased witness and, therefore, place more weight on his opinion and report, which is based on unrefuted data, than I do on the testimony of the applicant and the evidence of Courtney and Mr. Ogualu.
- [36] The applicant submitted that it was not necessary to call any witnesses to corroborate his evidence because his testimony was consistent with all the documentation. For example, he relied on the diagnoses in medical reports as evidence that he was in the vehicle and sustained injuries.⁸ Those reports diagnose soft tissue injuries.
- [37] I do not agree that the medical records support that the applicant was injured in a motor vehicle accident. As of October 2019, the applicant was suffering from soft tissue injuries as a result of a work related accident. To the extent there may have been an injury recorded as an MVA related injury that was different from his WSIB injuries, none of the health practitioners who authored the records were called to explain how their findings were of new injuries, not old. Nor were any medical records disclosing the applicant's WSIB injury produced to confirm there was a difference in the injuries sustained from each event.
- [38] I do not find that the documentary evidence corroborates the applicant's testimony, despite his assertion. There are too many inconsistencies between his testimony and the evidence that cannot be logically, cohesively or reasonably explained. Some of the inconsistencies came out in the applicant's examination-in-chief as noted under the "Collision" heading above. The following are some other inconsistencies but are not a complete list.
- [39] The applicant testified he did not pay attention to the route they were travelling on the evening of October 3, 2019. Courtney was using GPS. Courtney gave a statement that she used GPS to get to their intended destination, a restaurant called Hakka #1. However, at her examination under oath ("EUO"), the description of the route she drove to get to the restaurant is a convoluted route and one that does not show up on any GPS.⁹ Courtney did not provide any

⁸ Ex.3: note from Dr. Singh of October 4, 2019 and Ex. 6, OCF-3 of Preeti Somai October 7, 2019

⁹ Ex.17, 18, 19, 20 and 21: Google maps

explanation for this convoluted route at her EUO despite being asked.¹⁰ Nor was she called to testify at the hearing.

- [40] Despite stating at his EUO that he had been to the restaurant a number of times before with Courtney, the applicant stated they were going to Hakka #2, not Hakka #1, and he did not know the hours of service.¹¹ He also stated that Courtney did not usually use her GPS, but she did that day. This is contrary to Courtney's EUO statement that she always uses GPS. The applicant stated at his EUO that he could hear Courtney's GPS and that there was a little bit of background music playing, which is contrary to his testimony that he was listening to his headphones and not paying attention.¹²
- [41] The applicant underwent an EUO on February 6, 2020, at which time he could not recall where the accident occurred, contrary to his testimony at the hearing. At his EUO, he could not recall the last name of his friend "Ellis" who he had known for a year or so prior to the incident. The applicant stated that he introduced Ellis to Courtney as "Ellis." However, Courtney stated at her EUO that she thought his name was "Hy."
- [42] Although the applicant testified that he and the other passengers electronically signed documents at the collision reporting centre, no such documents were produced. The only documents pertaining to the other passengers that were included with the Collision Reporting Centre file were passenger statements that had the typed names of each passenger that were each signed by hand by Courtney. The applicant testified that Courtney asked the applicant for his date of birth, his address and phone number. However, none of this information is on his passenger statement other than his age, which is handwritten.¹³
- [43] The applicant's passenger statement states that he did not have any pre-existing injuries. However, the applicant testified that at the time of the incident, he was recovering from a back injury from work. The applicant's testimony that he electronically signed a form is inconsistent with the documentary evidence and Courtney's statement. She stated that no one went to the counter with her except her husband.¹⁴ The applicant did not explain this inconsistency or why Courtney signed the passenger statement with his name on it that was attached to her collision report, why his name was typed on it, but the remaining information was

¹⁰ Ex.1: Transcript from the examination under oath of Courtney McMullen taken January 17, 2020, qq.659 to 680

¹¹ Ex.8: Transcript from the examination under oath of Sachin Singh taken February 6, 2020

¹² Ex.8: Transcript from the examination under oath of Sachin Singh taken February 6, 2020

¹³ Ex.2: Self Reporting Collision Report of Courtney McMullen dated October 3, 2019

¹⁴ Ex.39: Statement of Courtney McMullen of November 1, 2019

handwritten or, if he was at the Collision Report Centre, why his pre-accident injury was not recorded on the passenger statement.¹⁵

- [44] The impound notice is signed by Courtney and states her car was towed to the impound lot at 11:41 p.m. on October 3, 2019. This is 41 minutes after the applicant testified he arrived home after dropping off Courtney and sitting outside talking for 10 to 20 minutes. The applicant's testimony is inconsistent with Courtney's statement that the applicant was dropped off first.¹⁶
- [45] Courtney stated that after being at the Collision Centre, she went to Progressive Auto where her car was towed to.¹⁷ This is contrary to the applicant's testimony and evidence that they were driven to Courtney's house directly from the Collision Reporting Centre.¹⁸
- [46] The applicant undertook and was also ordered to provide his cell phone records for October 3, 2019. The respondent asked that an adverse inference be drawn from the applicant's failure to provide the records. The applicant testified that his cell phone account was set up by the wife of a man he worked with shortly after he met the man. He did not obtain an account in his own name until after the collision. The applicant met the wife once or twice and paid the man he worked with in cash for the cell phone bills. He never saw the phone bills. He advised his legal representative that the phone account was in the name of Shameeza Maharaj. He testified that he tried to contact Shameeza's husband, Vinnie of an unknown last name, by Facebook in an effort to get Shameeza's authorization to disclose the cell phone records. He did not try to text her. He provided no proof of any efforts he made to obtain the records such as a print-out of a Facebook message.¹⁹
- [47] The applicant's legal representative wrote to the respondent advising that the applicant did not communicate with the owner of the cell phone account anymore and did not have the name of the provider or the phone number anymore. The applicant, however, would have known what his phone number was, and he advised the provider was Koodoo at his EUO. I am not satisfied by his testimony or his responses to the requests of his legal representative that the applicant made any effort to obtain the information that would have allowed his legal

¹⁵ Ex.2: Self Reporting Collision Report of Courtney McMullen dated October 3, 2019

¹⁶ Ex.39, Statement of Courtney McMullen of November 1, 2019

¹⁷ Ex.38, Statement of Courtney McMullen of October 25, 2019, p.42

¹⁸ Ex.8: Transcript from the examination under oath of Sachin Singh taken February 6, 2020, q.432

¹⁹ The applicant's legal representative wrote to the respondent advising that the applicant did not communicate with the owner of the account anymore and did not have the name of the provider or the phone number anymore.

representative to obtain the cell phone records. I find that the applicant's naivety with respect to paying a monthly phone bill that he never saw to someone he did not know and only met twice is questionable. If his cell phone bill was being paid in cash to Vinnie every month, the applicant would have had some means of contacting Vinnie to meet him in person to pay the bill every month for the seven month period between when he stopped working and October 3, 2019.

- [48] Without proof of the applicant's efforts to obtain his cell phone records, I find that neither party was in any position to seek a production order directly from Shameeza or from the cell phone provider. The cell tower records would have assisted in establishing whether the applicant was where he claimed to be on the evening of October 3, 2019. Accordingly, I draw an adverse inference from the failure of the applicant to provide his phone records as ordered or any proof of his efforts to obtain the records and find that the cell tower records would have shown the applicant was not anywhere near Courtney's car either time that it was struck by the SUV.
- [49] The applicant submitted that the discrepancies between his testimony, his evidence at his EUO, the transcript from Courtney's EUO, the documentary evidence and the evidence of Mr. Jennings are immaterial to the fact that there was a collision. I disagree. The fact that the damage could have only resulted from two collisions compared to what was reported by the applicant, Courtney and the driver of the SUV is material. There is no sensible explanation for why all three of them did not report that there were two collisions except that it was a staged collision. Further, it shows that I cannot accept any of their evidence as reliable.
- [50] Although one or two discrepancies in a witness' testimony is to be expected, the number of inconsistencies in this case is overwhelming and, therefore, demands explanation. The applicant chose not to call any other witnesses who could have provided that explanation or corroborated his testimony. Accordingly, I have drawn an adverse inference and find that the only reason the applicant did not call anyone to verify his testimony is because their evidence would have hurt his case.
- [51] Given the numerous inconsistencies in the applicant's testimony, his EUO, Courtney's statements, and the discrepancy between how they claim the accident occurred and the Jennings report, I am unable to accept that both the applicant and Courtney were telling the truth when they asserted the applicant was in the vehicle at the time of either of the two collisions. The applicant has failed to prove that he meets the first part of the two part test for an accident

because he has not proven he was in Courtney's car when it was struck. I find that the incident with Courtney's car was staged, which does not meet the second part of the two part test for accident because staging collisions is not the ordinary use to which vehicles are put. Accordingly, the applicant has not proven that he was involved in an accident as defined in the *Schedule*.

D. Misrepresentation and Repayment

- [52] Under s.53 of the *Schedule*, the respondent may terminate the applicant's accident benefits if the applicant wilfully misrepresented material facts with respect to the application for accident benefits and if the respondent provided him with a notice setting out the reasons for the termination.
- [53] I find that the applicant made a material misrepresentation by providing a description of the collision in his EUO and testimony that is completely at odds with Mr. Jennings' reconstruction report. For the reasons already given, I prefer Mr. Jennings' opinion over the applicant's testimony and statements. Accordingly, even if the applicant were in Courtney's car when one of the collisions occurred, I find that he has misrepresented what happened. As I have determined that the collisions were staged and there was no accident, I find that the applicant's misrepresentations are material to his claim for accident benefits.
- [54] I find that the misrepresentations were material because the applicant was seeking income replacement benefits in addition to costs for physiotherapy and chiropractic treatment.²⁰ I find that the misrepresentation was wilful because the applicant was provided a number of opportunities to change his evidence or to explain his inconsistencies and failed to do so. Given the Jennings report, the only explanation for the inconsistencies and the applicant's statement is that he was deliberately providing false information for the purpose of claiming accident benefits. This amounts to a wilful misrepresentation of material facts.
- [55] The applicant submitted that he had no information on why the respondent denied his accident benefits. He submitted that the first time he was advised of the reason for the denial of his claim was at the hearing. I disagree. The respondent provided the applicant with notice dated April 14, 2020 that accident benefits were denied in their entirety because the applicant made a material misrepresentation. The respondent advised him in that letter that the motor vehicle accident did not occur as reported. He was advised that there were inconsistencies in the vehicle/mechanism of damage and the reported loss details. This included evidence obtained from the vehicle involved in the loss and

²⁰ Case conference Order dated March 9, 2021

inconsistencies in the loss details provided under oath. The applicant was advised that the respondent did not consider the October 3, 2019, incident was an accident.²¹

- [56] I do not expect an insurer to provide a list of every single inconsistency that leads to a conclusion that there was a wilful material misrepresentation. Nor have I included all of the inconsistencies in this decision. It is enough notice for the insurer to state, as the respondent in this case has, that the respondent did not accept that an accident occurred and that the reason was because the vehicle data did not correspond with the applicant's description of what occurred. If there was any doubt as to what the respondent meant, it would have been clear that the respondent was relying on an engineering report when it served its response to the application and when the applicant was served with the Jennings report on October 28, 2020.²² Accordingly I find that the respondent was entitled to terminate the payment of accident benefits to or on behalf of the applicant in accordance with s.53 of the *Schedule*.
- [57] Under s.52 of the *Schedule*, a person is liable to repay to the respondent any accident benefit paid to the person as a result of an error on the part of the respondent, the applicant or any other person or as a result of wilful misrepresentation or fraud. If a person is liable to repay a benefit, the respondent is required to give the person notice of the amount required to be repaid.
- [58] I find, based on the documentary evidence,²³ that the respondent paid \$1,443.93 to McKenzie Medical on behalf of the applicant for treatment the applicant received at the clinic. I find the payment was made in error because the applicant was not involved in an accident. I find the payment was made based on the applicant's wilful misrepresentation that he was in an accident.
- [59] The respondent provided notice to the applicant in its April 14, 2020 letter that it was seeking a repayment of \$1,442.29. The respondent submitted the amount being claimed is \$1,443.00. There is no evidence that the respondent provided the applicant with the requisite notice under s.52(2)(a) of the *Schedule* that it was

²¹ Ex.40: letter from the respondent dated April 14, 2020. The applicant was put on notice that the respondent was investigating his claim by November 20, 2019 when he was provided with Exhibit 23, a reservation of rights letter advising that because of his failure to sign Exhibit 22, a non-waiver agreement sent October 30, 2019, the respondent was reserving the right to deny the applicant's claim if it was determined he was in breach of a condition of the contract. The definition of accident was quoted in that letter.

²² Ex.24: October 28, 2020 letter from the respondent to applicant's legal representative enclosing the Collision Reconstruction Report

²³ Ex.26: Letter from the respondent to McKenzie Medical dated December 4, 2019 re payment and Ex.27 Letter from the respondent to McKenzie Medical dated December 4, 2019 re payment.

seeking repayment of \$1,443.00. I do, however, find that it gave the requisite repayment notice for \$1,442.29. Accordingly, the respondent is entitled to repayment from the applicant of the \$1,442.29.

E. Costs

- [60] The respondent is claiming its costs of the hearing. I heard no submissions from the respondent or the applicant on costs. Accordingly, the respondent's claim for costs is dismissed.

V. CONCLUSION

- [61] For the reasons given, I find the following:

1. The applicant was not involved in an "accident" on October 3, 2019;
2. The applicant wilfully misrepresented material facts with respect to his application for accident benefits;
3. The respondent entitled to a repayment of medical benefits in the amount of \$1,442.29 pursuant to s. 52 of the *Schedule*; and
4. The respondent is not entitled to costs pursuant to LAT Rule 19.1.²⁴

Released: April 22, 2022

**Deborah Neilson
Adjudicator**

²⁴ *The Licence Appeal Tribunal, Animal Care Review Board, and Fire Safety Commission Common Rules of Practice and Procedure, Version 1 (October 2, 2017)* ["LAT Rules"]